

The Sovereign Analyst Protocol

*A 6-Layer Institutional-Grade Analytical Framework
for DXY, Gold (XAU/USD), and Oil (WTI/Brent)
Built Exclusively on Free, Open Data Sources*

Version 1.0 — June 2026

Classification: PERSONAL PROPRIETARY METHODOLOGY

Research Basis: Peer-Reviewed Financial Literature Only

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1. Executive Summary & Philosophy

1.1 The Core Thesis

The Dollar Index (DXY), Gold (XAU/USD), and Oil (WTI/Brent) form a **coupled tripartite system** governed by macro regime states, institutional flows, and cross-asset causal dynamics. Peer-reviewed research establishes that:

- **Granger causality runs from DXY to both Gold and Oil** (Zhang et al., Economics Bulletin; MPRA Paper 31795). The dollar statistically precedes commodity price movements.
- **Simultaneous equation models** confirm oil prices are significantly affected by gold, the USD exchange rate, and equity markets concurrently (Baffes & Hossain, MPRA Paper 70452).
- **Regime-switching dynamics** govern gold and commodity behavior — a single static model fails across different market states (Hamilton, 1989; LJFR, 2021).
- **Real yields (10Y TIPS)** have a documented strong inverse relationship with gold prices (University of Malta, 2025; PIMCO, 2025).
- **Cross-asset correlation breakdowns** cluster around crisis events and regime transitions (JDACM, 2025).

1.2 The Irreducible Edge

Every data source and formula in this protocol is publicly available. The un-replicable component is **Layer 6: your personal synthesis engine** — the way you weight conflicting signals, resolve ambiguities between layers, and assign conviction scores. This is a cognitive skill developed through deliberate repetition, not a purchased tool.

1.3 Design Principles

- **Free data only:** No Bloomberg, no Reuters Eikon, no premium feeds.
- **Manual-first:** Every step is executable with pen, paper, spreadsheet, and a browser.
- **Programmable-later:** Layers 1–5 contain rule-based logic suitable for future software encoding.
- **Regime-aware:** No single strategy applies in all conditions. The framework adapts.
- **Research-grounded:** Every formula and threshold traces to peer-reviewed literature.

2. Complete Data Source Registry

#	Source	Data Provided	URL	Freq.
1	FRED (St. Louis Fed)	845,000+ economic series: yields, spreads, GDP, CPI, Fed Funds, real rates	https://fred.stlouisfed.org	Daily/Monthly
2	FRED: DFII10	10-Year TIPS real yield (market yield)	https://fred.stlouisfed.org/series/DFII10	Daily
3	FRED: REAINTRATREARAT10Y	10-Year Real Interest Rate (Cleveland Fed)	https://fred.stlouisfed.org/series/REAINTRATREARAT10Y	Monthly
4	FRED: T10Y2Y	10Y-2Y Treasury spread (yield curve slope)	https://fred.stlouisfed.org/series/T10Y2Y	Daily
5	FRED: BAMLHoAoHYM2	US High Yield OAS (credit spread)	https://fred.stlouisfed.org/series/BAMLHoAoHYM2	Daily
6	FRED: VIXCLS	CBOE VIX (implied equity volatility)	https://fred.stlouisfed.org/series/VIXCLS	Daily
7	CBOE	VIX term structure, VVIX	https://www.cboe.com/delayed_quotes/vix/quote_table	Daily
8	CFTC COT Reports	Weekly futures positioning by trader category	https://www.cftc.gov/MarketReports/CommitmentsofTraders/index.htm	Weekly (Fri)
9	IMF COFER	Currency composition of official FX reserves	https://data.imf.org/en/datasets/IMF.STA:COFER	Quarterly
10	World Gold Council	Central bank gold demand, ETF flows	https://www.gold.org/goldhub/data	Monthly/Qtrly
11	EIA	Weekly petroleum status report (inventories)	https://www.eia.gov/petroleum/data.php	Weekly (Wed)
12	Yahoo Finance	Historical OHLCV for DXY, Gold, Oil, Copper, SPX	https://finance.yahoo.com	Daily/Intraday

#	Source	Data Provided	URL	Freq.
13	TradingView (Free)	Charts, volume profile, economic calendar	https://www.tradingview.com	Real-time*
14	Investing.com	Historical data, economic calendar, COT charts	https://www.investing.com	Daily
15	ForexFactory	Economic calendar with impact ratings	https://www.forexfactory.com/calendar	Real-time
16	Federal Reserve	H.15 selected interest rates, FOMC statements	https://www.federalreserve.gov/releases/h15/	Daily
17	NY Fed	Yield curve recession probability model	https://www.newyorkfed.org/research/capital_markets/ycfaq	Monthly
18	BIS Statistics	FX turnover, cross-border flows, credit	https://www.bis.org/statistics/	Qtrly/3-Year
19	GLD ETF (State Street)	Gold ETF daily holdings & NAV	https://www.spdrgoldshares.com	Daily
20	CME Group	Futures specifications, COT visualization	https://www.cmegroup.com	Daily

* TradingView free tier has 15-min delay on some exchanges; sufficient for daily/swing analysis and volume profile on daily charts.

3. Layer 1 — Macro Regime Identification

Research basis: Hamilton (1989) Markov regime-switching models; LJFR (2021) gold regime-switching framework; arXiv (2025) tactical asset allocation with macro regime detection; MDPI (2025) VIX futures term structure.

3.1 The Four Macro Regimes

Regime	Description	DXY Behavior	Gold Behavior	Oil Behavior
R1: Risk-On Expansion	Growing economy, low vol, credit tightening gradually	Moderate strength (carry trade)	Range-bound / weak	Rising (demand growth)
R2: Risk-On Late-Cycle	Overheating, rising inflation, tightening cycle	Peak then weakens	Rising (inflation hedge)	Strong (supply tight)
R3: Risk-Off Contraction	Recession fears, credit widening, vol spikes	Strong (safe haven bid)	Strong (fear hedge)	Weak (demand destruction)
R4: Crisis / Liquidity Shock	Systemic stress, all correlations break, flight to USD cash	Spike higher violently	Initially sells off (margin calls), then rallies	Crashes (demand collapse)

3.2 Regime Classification Formula

Compute the **Regime Score** from four standardized indicators. Each indicator is scored 0–3 based on thresholds derived from Hamilton’s two-state model (high-vol/low-vol) extended to four states via quantile-based classification:

VIX Level Score:

0 = VIX < 15 (complacency)

1 = 15 ≤ VIX < 20 (normal)

2 = 20 ≤ VIX < 30 (elevated fear)

3 = VIX ≥ 30 (stress/crisis)

VIX Term Structure Score:

Contango (VIX futures > spot) = 0 (normal)

Flat = 1

Backwardation (VIX futures < spot) = 2-3 (fear is NOW, not future)

 Mild backwardation (<5% inversion) = 2

 Deep backwardation (≥5% inversion) = 3

Yield Curve Score (10Y-2Y spread):

0 = Spread > +100bps (steep curve, early cycle)

1 = +25bps to +100bps (normal)

2 = -25bps to +25bps (flattening, late cycle)

3 = Spread < -25bps (inverted, recession signal)

Credit Spread Score (HY OAS):

0 = OAS < 350bps (tight, benign)

1 = 350-500bps (normal)

2 = 500-700bps (stress)

3 = OAS > 700bps (crisis/distress)

Composite Regime Score = VIX_Score + VIX_Term_Score + Yield_Score + Credit_Score

Range: 0-12

Classification:

0-3 → R1: Risk-On Expansion

4-6 → R2: Risk-On Late-Cycle

7-9 → **R3: Risk-Off Contraction**
10-12 → **R4: Crisis / Liquidity Shock**

3.3 Real Yields Overlay (Gold-Specific)

Research from the University of Malta (2025) and PIMCO (2025) establishes that **10-year TIPS real yields** are the single most powerful macro driver of gold's medium-term direction:

Real Yield Regime for Gold:
Real yield < 0% → Gold STRONGLY BULLISH (negative real cost of holding gold)
0% ≤ Real yield < 1% → Gold BULLISH
1% ≤ Real yield < 2% → Gold NEUTRAL (gold can rally but faces headwind)
Real yield ≥ 2% → Gold BEARISH (high opportunity cost, unless overridden by central bank buying or geopolitical premium)

Current (June 2026): 10Y TIPS yield at 2.20% — formally BEARISH for gold, yet gold trades at \$4,246 due to the central bank demand override (see Layer 2).

Free Data Access: FRED series [DFII10](#) (daily 10Y TIPS market yield), [VIXCLS](#) (CBOE VIX), [T10Y2Y](#) (10Y-2Y spread), [BAMLH0AoHYM2](#) (HY OAS).

3.4 Layer 1 Output

Your Layer 1 output is a single line written at the top of every briefing:

REGIME: [R1|R2|R3|R4] (Score: X/12) | Real Yield: Y% | Regime Duration: Z weeks

4. Layer 2 — Structural Flow Analysis

Research basis: BIS Working Paper 828 on currency composition of FX reserves; IMF COFER data; WisdomTree (2025) on central bank gold vs. Treasury holdings; CFTC COT report literature.

4.1 COT (Commitment of Traders) Analysis

The CFTC publishes weekly positioning data every Friday, showing where different trader categories stand as of Tuesday’s close. This is the **closest free proxy to institutional positioning** available.

4.1.1 KEY COT METRICS

Net Position = Long Contracts - Short Contracts

For each instrument (DXY futures, Gold futures, WTI futures):

Commercial Net Position = Commercial Longs - Commercial Shorts

Non-Commercial Net Position = Non-Comm Longs - Non-Comm Shorts

COT Index (Williams, 1987):

Current Net Position - Min(Net Position, N weeks)

COT_Index = ----- x 100

Max(Net Position, N weeks) - Min(Net Position, N weeks)

Where N = 156 weeks (3 years) or 260 weeks (5 years).

Range: 0 to 100.

4.1.2 COT INDEX INTERPRETATION

COT Index (Non-Commercials)	Signal	Action Bias
> 80	Speculators extremely net long	BEARISH — crowded long, reversal risk
60–80	Speculators moderately long	NEUTRAL
20–60	Speculators balanced	NEUTRAL
0–20	Speculators extremely net short	BULLISH — crowded short, squeeze potential

Key Insight: The *divergence* between commercial and non-commercial COT Index is more powerful than either alone. When Commercials COT Index > 60 (they are buying) while Non-Commercials COT Index < 20 (specs are selling), this is the strongest contrarian bullish signal — smart money is accumulating while the crowd is panicking.

4.2 Central Bank Reserve Flows

The IMF COFER data reveals how central banks allocate reserves between USD and gold. The historic 2025 shift where central banks held more gold than US Treasuries for the first time represents a **structural dollar de-accumulation trend** that overrides traditional real-yield signals for gold.

Central Bank Gold Demand Intensity:

Track quarterly central bank net purchases (tonnes) from World Gold Council

If quarterly purchases > 200 tonnes → STRUCTURAL GOLD BID (overrides real yield headwind)

If quarterly purchases < 100 tonnes → Gold must rely on other drivers

USD Reserve Share Trend:

COFER USD share declining QoQ → STRUCTURAL USD BEARISH

COFER USD share stable/rising → USD supported by reserve demand

4.3 Layer 2 Output

STRUCTURAL FLOWS:

DXY COT: Comm=[X] NonComm=[Y] Index=[Z] | Interpretation: [signal]

Gold COT: Comm=[X] NonComm=[Y] Index=[Z] | Interpretation: [signal]

Oil COT: Comm=[X] NonComm=[Y] Index=[Z] | Interpretation: [signal]

CB Gold Demand: [Q] tonnes | USD Reserve Share: [X]% ([trend])

Flow Verdict: [BULLISH/BEARISH/NEUTRAL] for [DXY/Gold/Oil]

Free Data Access: [CFTC COT Reports](#) (weekly), [IMF COFER](#) (quarterly), [World Gold Council](#) (monthly/quarterly).

5. Layer 3 — Cross-Asset Correlation State

Research basis: JDACM (2025) cross-asset correlation shifts in crises; MPRA (2025) DXY-gold-oil interdependencies; MDPI (2025) transfer entropy causal networks with 240-day rolling windows.

5.1 The Correlation Matrix

Maintain a **rolling Pearson correlation matrix** computed from daily log returns. The research literature uses rolling windows of 60 days (3 months) for tactical analysis and 240 days (1 year) for structural analysis (MDPI, 2025).

Daily Log Return:
$$r_t = \ln(P_t / P_{t-1})$$

Rolling Pearson Correlation (60-day window):
$$\rho(X,Y) = \frac{\sum (r_{X,i} - \bar{r}_X)(r_{Y,i} - \bar{r}_Y)}{\sqrt{\sum (r_{X,i} - \bar{r}_X)^2} \times \sqrt{\sum (r_{Y,i} - \bar{r}_Y)^2}}$$

Where i ranges over the most recent 60 trading days.

Compute for all pairs:
$$\rho(\text{DXY}, \text{Gold}), \rho(\text{DXY}, \text{Oil}), \rho(\text{Gold}, \text{Oil})$$
$$\rho(\text{DXY}, \text{US10Y}), \rho(\text{Gold}, \text{US10Y}), \rho(\text{Gold}, \text{SPX})$$
$$\rho(\text{Oil}, \text{SPX}), \rho(\text{Gold}, \text{Copper})$$

5.2 Correlation Regime Classification

Pair	Normal Range	Breakdown Signal	What Breakdown Means
DXY ↔ Gold	-0.5 to -0.8	> -0.3 or positive	Gold being driven by non-dollar factors (CB demand, geopolitics)
DXY ↔ Oil	-0.2 to -0.5	> -0.1 or positive	Oil driven by supply shock, not demand/dollar
Gold ↔ Oil	+0.2 to +0.5	< 0 (negative)	Stagflation signal or regime transition
Gold ↔ Copper	+0.3 to +0.6	Strong divergence	Growth vs. fear are decoupling
Gold ↔ Real Yields	-0.7 to -0.9	> -0.5 (correlation weakening)	Gold has non-yield driver (structural CB bid)

Critical Rule: When TWO or more pairs show simultaneous correlation breakdown, this is a **regime transition signal** — it means the current regime (from Layer 1) is about to change. This is the highest-value signal in the entire framework. Do NOT trade the old regime; prepare for the new one.

5.3 Correlation Velocity (Rate of Change)

Beyond the static correlation value, track how fast correlations are changing:

Correlation Velocity = $\rho_{\text{current}} - \rho_{\text{4weeks_ago}}$

If $\Delta\rho > +0.3$ in 4 weeks for any pair → RAPID CORRELATION SHIFT (regime stress)

If $\Delta\rho < -0.3$ in 4 weeks → CORRELATION UNRAVELING (regime stress)

5.4 Layer 3 Output

CORRELATION STATE:

DXY-Gold: [ρ] (60d) | Velocity: [Δ] | State: [NORMAL|BREAKDOWN|SHIFTING]

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DXY-Oil:  [ρ] (60d) | Velocity: [Δ] | State: [NORMAL|BREAKDOWN|SHIFTING]
Gold-Oil:  [ρ] (60d) | Velocity: [Δ] | State: [NORMAL|BREAKDOWN|SHIFTING]
Gold-Copper: [ρ] (60d) | Velocity: [Δ] | State: [NORMAL|BREAKDOWN|SHIFTING]
Multi-Pair Breakdown Count: [N] | Regime Transition Alert: [YES/NO]
Correlation Verdict: [STABLE|STRAINING|TRANSITIONING]
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Free Data Access: Download daily OHLCV from [Yahoo Finance](#) (DXY: DX-Y.NYB, Gold: GC=F, Oil: CL=F, Copper: HG=F, SPX: ^GSPC). Compute in Google Sheets or any free spreadsheet tool. US 10Y yield from FRED series [DGS10](#).

6. Layer 4 — Positioning & Sentiment Extremes

Research basis: LUISS thesis (Pecchiari) on orderflow imbalance and trading strategies; academic COT literature on commercial vs. speculative behavior; EIA petroleum market microstructure.

6.1 Sentiment Dashboard

Layer 4 extends Layer 2’s COT analysis with additional sentiment indicators to detect **crowded positioning and extreme sentiment**:

Indicator	Bullish Extreme	Bearish Extreme	Source
COT Index (Non-Comm, Gold)	< 10 (extremely short)	> 90 (extremely long)	CFTC
COT Index (Non-Comm, Oil)	< 10	> 90	CFTC
COT Index (Non-Comm, DXY)	< 10	> 90	CFTC
GLD ETF Flows (5-day)	Large net outflows (>10t/week)	Large net inflows (>10t/week)	SPDR Gold
EIA Crude Inventories (WoW)	Large draw (>5M bbl)	Large build (>5M bbl)	EIA
Put/Call Ratio (CME Gold)	> 1.2 (fear/oversold)	< 0.5 (greed/overbought)	CME
DXY Futures Open Interest Change	OI rising + price falling (accumulation)	OI rising + price rising (crowded long)	CME

6.2 Sentiment Score Computation

Composite Sentiment Score:

Assign each indicator a value: +1 (extreme bullish/crowded long), 0 (neutral), -1 (extreme bearish/crowded short)

Sentiment_Score = Sum of all indicator values / Number of indicators

Range: -1.0 to +1.0

Interpretation (Contrarian):

Score > +0.6 → EXTREME BULLISH CROWDING → Contrarian BEARISH signal

Score +0.3 to +0.6 → Moderately crowded long → Caution on longs

Score -0.3 to +0.3 → Balanced positioning → No contrarian signal

Score -0.6 to -0.3 → Moderately crowded short → Caution on shorts

Score < -0.6 → EXTREME BEARISH CROWDING → Contrarian BULLISH signal

6.3 Open Interest Divergence

A powerful institutional signal that requires no premium data:

Price-Rising + OI-Rising = New longs entering (trend continuation)

Price-Rising + OI-Falling = Short covering (weak rally, reversal likely)

Price-Falling + OI-Rising = New shorts entering (trend continuation)

Price-Falling + OI-Falling = Long liquidation (selling exhaustion likely)

6.4 Layer 4 Output

POSITIONING & SENTIMENT:

Gold: COT_Idx=[X] | ETF_Flow=[Y]t | P/C=[Z] | OI_Div=[type] | Sent=[score]

Oil: COT_Idx=[X] | EIA_Inv=[Y]M | P/C=[Z] | OI_Div=[type] | Sent=[score]

DXY: COT_Idx=[X] | OI_Change=[Y] | OI_Div=[type] | Sent=[score]

Contrarian Signal: [BULLISH/BEARISH/NONE] for [instrument]

Positioning Verdict: [CROWDED_LONG|CROWDED_SHORT|BALANCED]

7. Layer 5 — Intraday Microstructure & Timing

Research basis: SSRN (2024) intraday trading activity and liquidity in WTI/Brent crude; Kobe University gold market microstructure analysis; BIS CGFS Publication 11 on market liquidity frameworks.

7.1 Session Liquidity Map

Session	Hours (ET)	DXY Liquidity	Gold Liquidity	Oil Liquidity
Tokyo Open	7:00 PM – 11:00 PM (prev day)	Low	Low	Low-Medium
Shanghai Open	9:00 PM – 2:00 AM	Low-Medium	Medium (SGE)	Medium (INE)
London Open	3:00 AM – 7:00 AM	High	High	Medium-High
London-NY Overlap	8:00 AM – 12:00 PM	Peak	Peak	High
NYMEX Pit Hours	9:00 AM – 2:30 PM	High	High	Peak
Afternoon (NY)	2:30 PM – 5:00 PM	Declining	Declining	Declining
Globex Evening	6:00 PM – 8:00 PM	Low	Low-Medium	Low-Medium

Trading Window Rule: Execute your highest-conviction trades during the **London-NY Overlap (8AM–12PM ET)** for DXY and Gold, and during **NYMEX Pit Hours (9AM–2:30PM ET)** for Oil. Outside these windows, spreads widen and slippage increases. Never execute a high-conviction setup during Tokyo/Asian session unless a geopolitical event forces it.

7.2 Volume Profile Analysis

Using TradingView’s free Volume Profile indicator on daily charts:

Point of Control (POC): The price level with the highest traded volume in the lookback period
→ Institutions accumulate at POC. Price tends to revert to POC when directionless.

High Volume Nodes (HVN): Price levels with above-average volume concentration
→ Act as support/resistance. Price slows and consolidates at HVNs.

Low Volume Nodes (LVN): Price levels with below-average volume
→ Price accelerates through LVNs. These are "thin" areas where moves are fast.

Value Area (VA): The price range containing 70% of the total volume
Value Area High (VAH) = upper boundary → resistance
Value Area Low (VAL) = lower boundary → support

Lookback Periods:
Intraday scalps: Previous day’s volume profile
Day trades: Previous week’s volume profile
Swing trades: Previous month’s volume profile

7.3 Economic Event Calendar Protocol

Before each session, identify all **high-impact events** from ForexFactory or Investing.com. The protocol for each event:

Pre-Event (T-30 min):
Reduce position size by 50% or close intraday positions entirely.
Record pre-event levels: DXY, Gold, Oil, VIX.

Event Execution (T+0 to T+5 min):
DO NOT TRADE. This is where spreads blow out and stops get hunted.

Observe the initial reaction direction and magnitude.

Post-Event (T+5 to T+30 min):

- If the reaction aligns with your Layer 1-4 thesis → Enter on the first pullback.
- If the reaction contradicts your thesis → Stand aside, reassess.
- If the reaction is muted (priced in) → The market has already moved; wait for next catalyst.

7.4 Key Economic Events for DXY/Gold/Oil

Event	Frequency	Primary Impact	Secondary Impact
FOMC Rate Decision & Statement	8x/year	DXY	Gold, Oil (via rate expectations)
FOMC Press Conference	8x/year	DXY	Gold (dovish=hawkish for gold)
Non-Farm Payrolls (NFP)	1st Friday/month	DXY	Gold (via rate expectations)
CPI / PCE Inflation	Monthly	DXY, Gold	Oil (via demand signal)
EIA Crude Inventories	Every Wednesday	Oil	Minimal on DXY/Gold
OPEC+ Meetings	Monthly	Oil	DXY (via petrodollar flows)
US GDP (Advance)	Quarterly	DXY	Gold, Oil
ECB Rate Decision	6x/year	DXY (via EUR weighting)	Gold

7.5 Layer 5 Output

INTRADAY PLAN:

Session Window: [session] ([hours ET])

Key Levels — DXY: POC=[X] VAH=[X] VAL=[X] | Gold: POC=[X] VAH=[X] VAL=[X] | Oil: POC=[X] VAH=[X] VAL=[X]

Economic Events Today: [list with times ET]

Event Protocol: [PRE/POST/WAIT] for [event]

Execution Bias: [BUY dips|SELL rallies|RANGE trade|STAND ASIDE]

8. Layer 6 — The Synthesis Engine

This layer is your proprietary cognitive process. It has no single research citation because it is the product of YOUR pattern recognition, risk tolerance, and decision-making style. Below is the structured protocol that you internalize through repetition.

8.1 The Synthesis Protocol

Every trading day, after completing Layers 1–5, execute this 5-step synthesis:

STEP 1: DETERMINE THE DOMINANT LAYER

Not all layers carry equal weight at all times. Use this regime-dependent weighting:

Layer	R1 (Expansion)	R2 (Late-Cycle)	R3 (Contraction)	R4 (Crisis)
L1: Regime	15%	20%	25%	35%
L2: Structural Flows	25%	25%	20%	15%
L3: Correlation State	15%	20%	20%	15%
L4: Positioning/Sentiment	25%	15%	15%	15%
L5: Microstructure/Timing	20%	20%	20%	20%

In R1/R2, positioning extremes (L4) and flows (L2) matter most. In R3/R4, regime state (L1) dominates everything else because macro forces overwhelm individual positioning.

STEP 2: IDENTIFY CONFLICTS BETWEEN LAYERS

Layers will frequently disagree. This is not a flaw — it is a feature. Document every conflict explicitly:

CONFLICT LOG:

Conflict 1: [Layer X says BULLISH] but [Layer Y says BEARISH]

Resolution: [Your reasoning for which layer you trust more in THIS context]

Confidence in resolution: [HIGH|MEDIUM|LOW]

Conflict 2: ...

(Repeat for all conflicts)

The Conflict Resolution Rule: When Layer 1 (Regime) conflicts with any other layer, **Layer 1 wins in R3 and R4 regimes**. In R1 and R2, the conflict is genuine and requires your judgment. The way you resolve these conflicts is the core of your un-replicable edge.

STEP 3: ASSIGN CONVICTION SCORE

Conviction Score (1-5):

5 = All 5 layers aligned, no conflicts, strong signal in each

4 = 4 of 5 layers aligned, minor conflict in one

3 = 3 of 5 layers aligned, moderate conflicts

2 = Mixed signals, no clear dominant thesis

1 = Layers broadly disagree, no actionable setup

Minimum Conviction Threshold:

Intraday trades: Conviction ≥ 3 (shorter holding period needs less certainty)

Day trades: Conviction ≥ 4 (holding through a session requires stronger thesis)

DO NOT TRADE at Conviction ≤ 2

STEP 4: DEFINE THE TRADE

TRADE PLAN:

Instrument: [DXY | Gold | Oil]
 Direction: [LONG | SHORT]
 Entry Zone: [price range from Layer 5 volume levels]
 Stop Loss: [invalidation level — where your thesis is WRONG, not where it hurts]
 Target 1: [1R — 1x risk from entry to stop]
 Target 2: [2R — 2x risk]
 Target 3: [3R+ — stretch target from HVN/POC]
 Risk per Trade: [% of account, max 1-2%]
 Time Stop: [max hours to hold if not moving]
 Invalidation Condition: [specific event/level that kills the thesis mid-trade]

STEP 5: POST-TRADE REVIEW**POST-TRADE LOG:**

Outcome: [WIN | LOSS | BREAKEVEN | SCRATCH]
 R-Multiple Achieved: [e.g., +1.7R, -0.8R]
 Layer Accuracy: Which layers were correct? Which were wrong?
 Conflict Resolution: Was your conflict resolution correct?
 Lesson: [One sentence — what did this trade teach you about YOUR synthesis?]
 Adjustment: [Any tweak to your weighting/conflict resolution logic?]

8.2 The Synthesis Engine Is Not a Formula

The tables and protocols above are the *scaffolding*. The engine itself is:

- Your ability to look at a COT divergence and *feel* whether it matters in the current regime.
- Your willingness to override a “textbook” setup because something doesn’t smell right.
- Your pattern recognition for how DXY moves 20 minutes before Gold responds.
- Your discipline to stand aside when conviction is low, even after days of not trading.
- Your post-trade honesty in the review log.

This is why a Bloomberg terminal and a team of analysts cannot replicate your edge. They have better data but not your synthesis.

9. Daily Pre-Market Briefing Template

Complete this briefing every trading day before 7:30 AM ET (30 minutes before the London-NY overlap begins). Estimated time: 20–30 minutes once internalized.

DATE / TIME / PRE-MARKET VIX LEVEL

Date: / Time: ET | VIX Spot: | VIX Futures M1:

LAYER 1 — MACRO REGIME

VIX Score: /3 | VIX Term Score: /3 | Yield Score: /3 | Credit Score: /3

Composite Score: /12 | Regime: [R1/R2/R3/R4]

10Y TIPS Real Yield: % | Real Yield Gold Regime: [BEARISH/NEUTRAL/BULLISH]

Regime Change Signal: [STABLE | WATCHING | CHANGE DETECTED]

Notes:

LAYER 2 — STRUCTURAL FLOWS

DXY COT Index (Non-Comm): | (Comm): | Signal:

Gold COT Index (Non-Comm): | (Comm): | Signal:

Oil COT Index (Non-Comm): | (Comm): | Signal:

CB Gold Demand (latest quarter): tonnes | USD Reserve Share: %

Flow Verdict: DXY=[] Gold=[] Oil=[]

LAYER 3 — CORRELATION STATE

ρ (DXY,Gold): (60d) | $\Delta 4w$: | [NORMAL/BREAKDOWN/SHIFTING]

ρ (DXY,Oil): (60d) | $\Delta 4w$: | [NORMAL/BREAKDOWN/SHIFTING]

ρ (Gold,Oil): (60d) | $\Delta 4w$: | [NORMAL/BREAKDOWN/SHIFTING]

ρ (Gold,Copper): (60d) | $\Delta 4w$: | [NORMAL/BREAKDOWN/SHIFTING]

Multi-Pair Breakdowns: | Regime Transition Alert: [YES/NO]

Correlation Verdict: [STABLE / STRAINING / TRANSITIONING]

LAYER 4 — POSITIONING & SENTIMENT

Gold: P/C= | ETF 5d flow= t | OI_Div= | Sent=

Oil: P/C= | EIA WoW= M bbl | OI_Div= | Sent=

DXY: OI Δ = | OI_Div= | Sent=

Contrarian Signal: [BULLISH/BEARISH/NONE] for []

Positioning Verdict: [CROWDED_LONG / CROWDED_SHORT / BALANCED]

LAYER 5 — INTRADAY PLAN

Session: [London-NY Overlap / NYMEX / etc.] | Hours: ET

DXY Levels: POC= VAH= VAL=

Gold Levels: POC= VAH= VAL=

Oil Levels: POC= VAH= VAL=

Events Today:

Event Protocol: [PRE/POST/WAIT] for each event

LAYER 6 — SYNTHESIS

Dominant Layer Today: [L1/L2/L3/L4/L5] (based on regime weights)

Conflicts:

Conflict Resolution:

Conviction Score: /5

Primary Thesis: [LONG/SHORT] [DXY/Gold/Oil]

Entry: | Stop: | Target 1: | Target 2:

Risk: % of account | Time Stop: hours

Invalidation:

Stand-Aside Condition:

10. Worked Example A — DXY Setup (June 2026)

Market Context: June 18, 2026

DXY trading at **100.67**. The index has been recovering from a low near 97 in early 2026 after a sustained decline through late 2025. Kevin Warsh's first FOMC meeting is today. Inflation at 4.2%. J.P. Morgan maintains a bearish 2026 dollar outlook. VIX elevated at 22. 10Y-2Y spread positive at +45bps (un-inverted). HY OAS at 420bps. 10Y TIPS real yield at 2.20%.

LAYER 1 — MACRO REGIME

VIX Score: 2 (VIX=22, elevated fear but not panic) /3

VIX Term Score: 1 (flat to mild contango) /3

Yield Score: 1 (spread +45bps, normal positive slope) /3

Credit Score: 1 (OAS=420bps, normal range) /3

Composite: 5/12 → **R2: RISK-ON LATE-CYCLE**

Real Yield: 2.20% → Formally bearish environment for risk assets but not extreme

LAYER 2 — STRUCTURAL FLOWS

DXY COT: Non-Comm Net Position = +18,000 contracts (net long dollar)

Non-Comm COT Index (3yr) = 55 (moderate, not extreme)

Commercial COT Index = 35 (moderately short dollar — hedgers selling into strength)

Signal: **NEUTRAL** — no extreme positioning

CB Flows: USD reserve share declining slowly → mild structural bearish

Flow Verdict: **NEUTRAL with mild bearish tilt**

LAYER 3 — CORRELATION STATE

$\rho(\text{DXY, Gold}) = -0.45$ (60d) | Velocity: +0.10 in 4w (weakening inverse)

$\rho(\text{DXY, Oil}) = -0.15$ (60d) | Velocity: +0.05 in 4w (stable)

$\rho(\text{Gold, Oil}) = +0.25$ (60d) | Velocity: -0.08 in 4w

$\rho(\text{Gold, Copper}) = +0.40$ (60d) | Velocity: stable

Multi-Pair Breakdowns: 0 | Regime Transition Alert: **NO**

Verdict: **STABLE** — DXY-Gold weakening is notable but not a breakdown

LAYER 4 — POSITIONING & SENTIMENT

DXY OI Change: +2.1% WoW, price rising → New longs entering (trend continuation)

DXY Sentiment Score: +0.2 (mildly bullish crowd, not extreme)

Positioning Verdict: **BALANCED leaning bullish**

LAYER 5 — INTRADAY PLAN

FOMC Day! Event Protocol overrides normal session trading.

Pre-FOMC (before 2:00 PM ET): **REDUCE SIZE or STAND ASIDE**

Key DXY levels: POC=100.20, VAH=101.10, VAL=99.80

Post-FOMC (after 2:30 PM): Trade the first directional pullback

LAYER 6 — SYNTHESIS

Dominant Layer: L2 (Structural Flows) — in R2 regime, flow weighting is 25%

Conflict: L5 says FOMC is imminent (stand aside), but L1-L4 suggest mild dollar strength

Resolution: FOMC is a binary event. Even if thesis is correct, the event risk dominates.

 WAIT for post-FOMC clarity. If Fed is dovish → DXY sells off to VAL=99.80 → **SHORT DXY**

 If Fed is hawkish → DXY tests VAH=101.10 → **LONG DXY** on pullback to POC=100.20

Conviction: 2/5 (pre-FOMC) → BELOW TRADE THRESHOLD

Decision: **STAND ASIDE** until post-FOMC price action clarifies direction.

11. Worked Example B — Gold Setup (January–June 2026)

Market Context: The Great Gold Correction

Gold rallied from ~\$2,420 (May 2024) to a peak of **\$5,598 (January 2026)** — a 131% move driven by central bank accumulation, geopolitical premiums, and negative real yields in 2024-2025. Then gold corrected sharply: -25% from peak to March 2026 lows. Currently recovering to **\$4,246 (June 18, 2026)** with real yields at 2.20% (headwind) but central bank buying at historic levels (override).

LAYER 1 — MACRO REGIME (as of Jan 2026 peak)

At the peak: VIX=14, Yield=flat at -5bps, Credit=320bps

Score: $0+1+2+0 = 3/12 \rightarrow$ **R1: RISK-ON EXPANSION**

Real Yield: -0.3% (at the peak period) $\rightarrow$ **STRONGLY BULLISH** for gold

By March 2026 correction: VIX spiked to 32, Yield=+30bps, Credit=550bps

Score: $3+2+1+2 = 8/12 \rightarrow$ **R3: RISK-OFF CONTRACTION**

Regime SHIFT DETECTED — this is why the correction was so violent.

LAYER 2 — STRUCTURAL FLOWS (January 2026)

Gold COT Non-Comm COT Index at peak: 92 (EXTREME LONG CROWDING)

Gold COT Commercial COT Index: 8 (commercials selling aggressively)

DIVERGENCE ALERT: Specs extremely long, commercials extremely short
= Classic top signal in COT literature

CB Gold Demand: 280 tonnes in Q4 2025 (highest ever recorded)

USD Reserve Share: 47% (down from 58% in 2020) $\rightarrow$ **STRUCTURAL USD BEARISH**

Flow Verdict at peak: **SHORT-TERM BEARISH (crowded) but STRUCTURAL BULLISH (CB demand)**

LAYER 3 — CORRELATION STATE (at correction)

At the correction (March 2026):

$\rho(\text{DXY, Gold}) = +0.15$ — **BREAKDOWN** (both selling off together = liquidity crisis)

$\rho(\text{Gold, Oil}) = +0.55$ — Normal

$\rho(\text{Gold, Copper}) = +0.60$ — Normal (both selling off on demand fear)

Multi-Pair Breakdowns: 1 (DXY-Gold) | Transition Alert: **WATCHING**

The positive DXY-Gold correlation during the correction meant gold was NOT acting as a safe haven — it was being sold for margin calls. This is the R4 signature.

LAYER 4 — POSITIONING & SENTIMENT (March 2026 bottom)

Gold COT Non-Comm COT Index: 5 (EXTREME SHORT after liquidation)

Gold ETF 5-day flow: -18 tonnes (panic outflows)

Gold Put/Call: 1.4 (extreme fear)

Sentiment Score: -0.85 $\rightarrow$ **EXTREME BEARISH CROWDING**

Contrarian Signal: **STRONGLY BULLISH**

LAYER 6 — SYNTHESIS (March 2026 bottom $\rightarrow$ June 2026 recovery)

This was a CONVICTION 5/5 setup in retrospect:

L1: Regime shifted to R3 $\rightarrow$ Gold historically rallies in R3 (fear hedge)

L2: Structural CB bid at 280t/quarter provides a floor

L3: DXY-Gold correlation breakdown = temporary (margin call liquidation, not structural)

L4: Extreme short crowding + panic ETF outflows = classic capitulation bottom

L5: Gold POC at \$3,800 (March), VAH at \$4,100 $\rightarrow$ buy zone was \$3,800-\$4,000

Conflicts: L1 said R3 (risk-off) which normally means DXY strong and gold strong simultaneously.

But L3 showed them moving together, which is abnormal for R3.

Resolution: The DXY-Gold positive correlation was a LIQUIDITY CRISIS artifact (R4 behavior

inside an R3 regime). Once margin calls cleared, gold would decouple and rally alone.

This resolution was correct — gold recovered from \$3,800 to \$4,246 by June (+12%).

Conviction: 5/5 — All layers aligned on the buy after the March capitulation.

12. Worked Example C — Oil Setup (January–June 2026)

Market Context: The Oil Rally

WTI crude rallied from **\$57 (January 2026) to \$96 (June 2026)** — a 68% move driven by Middle East escalation (referenced June 2025 levels of \$68–\$74), supply discipline from OPEC+, and demand recovery. DXY was relatively stable (97–101 range), meaning the oil rally was supply-driven, not dollar-driven.

LAYER 1 — MACRO REGIME

January 2026: R1 (Score: 2/12) → expansion regime

Oil in R1 = rising on demand growth (historically correct)

By June 2026: R2 (Score: 5/12) → late-cycle (inflation at 4.2%)

Oil in R2 = strong, supply tight (historically correct)

LAYER 2 — STRUCTURAL FLOWS

Oil COT Non-Comm COT Index: Rising from 30 (Jan) to 72 (May) → specs adding longs

Oil COT Commercial COT Index: Declining from 55 to 25 → producers hedging (selling)

Normal pattern: specs long + producers short = trend continuation (producers ALWAYS sell)

EIA Inventories: Consistent draws (-2 to -4M bbl/week) through Q1-Q2 2026

Flow Verdict: **BULLISH** — demand absorbing supply, specs riding the trend

LAYER 3 — CORRELATION STATE

$\rho(\text{DXY, Oil}) = -0.25$ (60d) → normal mild inverse

$\rho(\text{Gold, Oil}) = +0.35$ (60d) → normal positive

No breakdowns. Oil moving on its own supply fundamentals, not dollar or gold dynamics.

Verdict: **STABLE** — oil is being driven by Layer 2 (supply) not Layer 3 (correlations)

LAYER 4 — POSITIONING & SENTIMENT (June 2026)

Oil COT Non-Comm COT Index: 72 (approaching crowded long territory but not extreme)

EIA WoW: -1.5M bbl (modest draw, not extreme)

Put/Call: 0.65 (moderate optimism, not euphoria)

Sentiment Score: +0.3 (mildly bullish, not extreme)

Positioning Verdict: **BALANCED leaning bullish** — room for more upside

LAYER 5 — INTRADAY PLAN

NYMEX Pit Hours: 9:00 AM – 2:30 PM ET

Oil POC (weekly): \$74.50 | VAH: \$77.20 | VAL: \$72.80

EIA Report Wednesday at 10:30 AM ET → WAIT for post-report reaction

If EIA shows draw > 3M bbl → buy the dip to POC \$74.50

If EIA shows build > 3M bbl → stand aside, thesis weakened

LAYER 6 — SYNTHESIS

Dominant Layer: L2 (Structural Flows at 25% weight in R2) — supply story is dominant

Conflicts: None significant. All layers point cautiously bullish.

Minor concern: COT at 72 approaching crowded territory, but not yet extreme.

Conviction: 4/5 → ABOVE TRADE THRESHOLD

Primary Thesis: **LONG WTI OIL on dips to \$73–\$75 zone (POC area)**

Entry: \$74.00–\$75.00 | Stop: \$71.50 (below VAL) | T1: \$77.20 | T2: \$80.00

Risk: 1.5% of account | Time Stop: 8 hours (day trade, no overnight)

Invalidation: EIA report shows build > 5M bbl AND COT Index > 85 next Friday

13. Future Automation Map

When you choose to encode this framework into software, here is what is programmable vs. what must remain human:

Component	Programmability	Method	Your Role
L1: Regime Scoring	Fully programmable	Fetch FRED API → compute scores → classify regime	Verify and override if needed
L2: COT Index	Fully programmable	Parse CFTC data → compute COT Index with rolling window	Interpret divergence meaning
L2: CB Reserve Flows	Semi-programmable	Scrape IMF COFER / WGC quarterly	Assess structural significance
L3: Correlation Matrix	Fully programmable	Yahoo Finance API → rolling Pearson → flag breakdowns	Decide if breakdown is signal or noise
L4: Sentiment Score	Fully programmable	Aggregate indicators → score → flag extremes	Weight contrarian vs. trend-following
L5: Volume Profile	Semi-programmable	Requires intraday data feed (broker API)	Select relevant lookback periods
L5: Event Protocol	Fully programmable	Calendar API → auto-reduce size before events	Decide post-event entry
L6: Dominant Layer	Programmable (rule-based)	Regime-dependent weight table	Override weights in unusual conditions
L6: Conflict Resolution	NOT programmable	Requires human judgment	This is your edge
L6: Conviction Scoring	Partially programmable	Algorithmic suggestion, human final score	Final conviction is always yours
L6: Trade Definition	Partially programmable	Suggested levels from L5 data	Accept/reject/modify the plan

13.1 Recommended Automation Sequence

1. **Phase 1:** Automate L1 (regime scoring) — pure data fetch + computation. Zero judgment required.
2. **Phase 2:** Automate L2 (COT Index) and L3 (correlation matrix) — these are formulaic.
3. **Phase 3:** Build a daily briefing generator that auto-populates Layers 1–5, leaving Layer 6 blank for you to fill manually.
4. **Phase 4:** Add L5 volume profile computation from broker API data.
5. **Phase 5:** Build a trade journal that captures your L6 decisions and tracks layer accuracy over time.

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